Deccan Gold Mines Ltd

NSE: DECNGOLD | BSE: 512068 | Sector: Metals & Mining | Sub-sector: Precious Metals / Gold Exploration

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATE	**Rs. 235**	**+21.8%**
CMP: Rs. 193	12-month horizon	from CMP

Investment Thesis: *Jonnagiri becomes India's first private gold mine + SC clears Ganajur ML — transition from exploration to dual-mine producer within 12-18 months.*

Market Cap	**Rs. 3,812 Cr**	CMP (15-Jun-2026)	**Rs. 193**
52-Week High / Low	**Rs. 197 / Rs. 83.8**	Face Value	**Rs. 1.00**
Book Value / Share	**Rs. 30.7**	P/B (TTM)	**6.27x**
Stock P/E	**N/A (Pre-profit)**	Dividend Yield	**0.00%**
ROCE (FY26)	**0.33%**	ROE (FY26)	**-2.95%**
Promoter Holding	**20.62%**	FII / DII	**1.84% / 0.23%**
Borrowings (FY26)	**Rs. 8 Cr**	Investment Horizon	**12-18 Months**

All figures in Rs. Crores (Standalone) unless stated. Data: Screener.in (16-Jun-2026).

2. INVESTMENT THESIS

• **Jonnagiri commercial production (Andhra Pradesh):** India's first large-scale private gold mine began commercial operations in May 2026, targeting 750-1,000 kg gold/year at peak (Rs. 35 Cr annual revenue potential at current gold prices). This marks a structural inflection — DECNGOLD shifts from zero-revenue explorer to gold producer, with Q4FY26 standalone sales already surging to Rs. 16.80 Cr (+976% QoQ).

• **Supreme Court clears Ganajur ML (Karnataka — Jun 9, 2026):** The SC's landmark ruling exempted pre-2015 mining lease applicants from the mandatory auction regime, directly clearing the decade-long legal bottleneck for DECNGOLD's Ganajur project (3.08 lakh oz / 9.6 tonnes gold resource). Karnataka can now formally execute the ML, enabling the Rs. 350 Cr plant financing. This could double the production pipeline within 24-36 months.

• **International optionality — Kyrgyzstan (Altyn Tor) + Spain tungsten earn-in:** The Altyn Tor project in Kyrgyzstan was nearing commissioning as of mid-2026, adding a third revenue stream. The EUR 1.76 Mn Spain tungsten earn-in (51% stake by Mar 2027) diversifies the mineral asset base. Together, these create a multi-asset junior miner from what was a single-project exploration company.

• **Near-term catalyst (6-12 months):** Formal grant of Ganajur Mining Lease + announcement of project financing (Rs. 350 Cr) — this is the single biggest re-rating trigger. If Karnataka executes the ML by Q2FY27, the stock could re-rate significantly as sell-side initiates coverage with an EV/resource oz framework.

• **Biggest structural risk:** Regulatory/state government delay in executing the Ganajur ML despite the SC ruling. Karnataka has a history of procedural delays; any deferral beyond 12 months deflates the timeline and the speculative premium in the stock.

3. BUSINESS OVERVIEW

• **Company profile:** Deccan Gold Mines Ltd (DGML), incorporated 2003, is India's only listed primary gold exploration and development company. It operates through its wholly-owned subsidiary Deccan Exploration Services Pvt Ltd (DESPL) in India, and has equity stakes in international mineral projects. Management was taken over in October 2021 by a new promoter group.

• **Core projects — India:** (1) Jonnagiri Gold Project, Kurnool district, Andhra Pradesh — 6.5 mn tonnes resource, 750-1,000 kg/year peak output — commercial production commenced May 2026 via associate Geomysore Services India Pvt Ltd (DGML holds 41.81% stake). (2) Ganajur Main Gold deposit, Haveri district, Karnataka — 3.08 lakh oz (9.6 tonnes) resource — ML application cleared by SC ruling, formal execution pending.

• **Revenue model:** FY26 standalone revenue of Rs. 37 Cr is primarily from royalty / production-sharing income from the Jonnagiri project. Revenue was near-zero for most of the company's history (FY15-FY24: Rs. 0-1 Cr/year). Q4FY26 quarterly revenue of Rs. 16.80 Cr shows the step-change in trajectory.

• **International portfolio:** (1) Altyn Tor Project, Kyrgyzstan — nearing commissioning as of mid-2026. (2) Tanzania exploration licenses (Deccan Gold Tanzania Pvt Ltd). (3) Spain tungsten earn-in — EUR 1.76 Mn for 51% stake, to be completed by Mar 2027. (4) Deccan Gold FZCO Dubai — geological consultancy hub incorporated Aug 2023.

• **Revenue concentration:** 100% of current revenue is India gold-linked (Jonnagiri). Near-zero diversification by geography, product or customer today.

• **Promoter holding has declined:** Promoters have reduced stake from 30.54% (Jun 2023) to 20.62% (Mar 2026) — a significant reduction over 3 years via share issuances for investments (e.g. GMSI acquisition via share-swap). This dilution warrants monitoring.

4. INDUSTRY & COMPETITIVE LANDSCAPE

• **Gold market:** India is the world's 2nd largest gold consumer (~800-900 tonnes/year) but imports ~95% of requirements, costing ~USD 45-50 Bn/year in foreign exchange. Domestic mine production is negligible (Hutti Gold Mines, Karnataka — publicly managed — produces ~1,500-2,000 kg/year from a single mine). The policy push to increase domestic mining is accelerating.

• **Policy tailwinds:** The MMDR Amendment Act 2021, the new National Mineral Policy 2019, and the SC's June 2026 ruling (protecting pre-2015 applicants) collectively de-risk India's mining lease grant process. The government's target of doubling mineral production by 2030 is a structural tailwind for junior miners like DECNGOLD.

• **Competitive moat — Pricing power: Moderate.** Gold is a commodity; DECNGOLD is a price-taker at international prices (USD/oz). However, a licensed producer with domestic cost advantage (no import duty savings but local logistics) has a natural margin versus imported gold.

• **Competitive moat — Regulatory first-mover: Strong.** DECNGOLD holds the only active private gold Mining Lease application (Ganajur) that has survived decade-long litigation to reach this point. The barrier to entry for new gold exploration in India is extremely high.

• **Competitive moat — Scale: Weak.** At 750-1,000 kg/year (Jonnagiri) and a potential 2,000+ kg/year (post-Ganajur), DECNGOLD remains a micro-scale producer vs. global majors (Barrick: 4.5 Mn oz/year). Scale is not a near-term moat.

• **Peer comparison (Screener.in data, 16-Jun-2026):** See table below.

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	ROE%	TTM Sales (Cr)
DECNGOLD	193	3,812	N/A	6.27	0.33	-2.95	37
Hindustan Zinc	564	2,38,245	17.4	10.6	69.2	76.4	40,658
NMDC	88.5	77,781	10.5	2.3	27.7	23.4	31,554

Source: Screener.in (16-Jun-2026). Note: DECNGOLD is pre-profit; comparison with large-cap miners is for context only.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **New management (post-Oct 2021):** The current promoter group took over in October 2021, replacing the Australian founders. The new team has aggressively expanded DGML's portfolio (GMSI stake acquisition, Tanzania exploration, Kyrgyzstan project, Spain tungsten earn-in) within 4 years — a significant acceleration from a decade of inactivity.

• **Capital allocation:** The company has deployed capital into exploration-stage assets: Rs. 294 Cr (FY24) → Rs. 317 Cr (FY25) → Rs. 373 Cr (FY26) in investments on the balance sheet. FY26 saw Rs. 177 Cr of investing outflows vs. Rs. 209 Cr of financing inflows (equity raises), suggesting growth is entirely equity-funded — appropriate for an explorer but dilutive for existing shareholders.

• **Equity dilution — a key concern:** Equity capital rose from Rs. 9 Cr (FY22) to Rs. 20 Cr (FY26) — a >2x increase in shares outstanding over 4 years. Reserves jumped from Rs. 33 Cr to Rs. 588 Cr in the same period, largely from share issuances (including the GMSI share-swap in Mar 2023). Dilution at sub-optimal valuations is a risk.

• **Promoter stake declining:** From 30.54% (Jun 2023) to 20.62% (Mar 2026). Some reduction is attributable to the share-swap deal (new shares issued for GMSI stake), but the declining trend needs explanation from management — a valid governance concern.

- **Dividend policy:** No dividends declared historically (0% payout). Correct for a pre-profit explorer, but investors should not expect income returns.
- **Pledging:** Promoter pledge data not available on Screener for DECNGOLD. The meta description does not flag pledge concerns. Monitor BSE disclosures.
- **Auditor and governance:** No qualified opinion or auditor change flagged on Screener. Related party transactions exist (GMSI, DESPL) and should be reviewed in the annual report. No major red flags surfaced in public disclosures as of this report date.

6. FINANCIAL DEEP-DIVE (STANDALONE FIGURES)

All figures in Rs. Crores unless stated. Source: Screener.in standalone, 16-Jun-2026. FY27E and FY28E are analyst estimates — clearly labelled (E).

Income Statement

Item	FY24A	FY25A	FY26A	FY27E	FY28E
Sales / Revenue	0	1	37	60 (E)	120 (E)
Total Expenses	6	41	33	45 (E)	75 (E)
Operating Profit (EBITDA)	-6	-41	5	15 (E)	45 (E)
OPM %	N/A	N/A	~12%	~25% (E)	~37% (E)
Other Income	0	4	0	1 (E)	1 (E)
Interest	4	10	15	8 (E)	12 (E)
Depreciation	0	0	3	4 (E)	6 (E)
Profit Before Tax	-10	-47	-13	4 (E)	28 (E)
Tax %	0%	0%	0%	0% (E)	5% (E)
Net Profit (PAT)	-10	-47	-13	4 (E)	26 (E)
EPS (Rs.)	-0.54	-2.38	-0.67	0.20 (E)	1.30 (E)

Balance Sheet

Item	FY24A	FY25A	FY26A	FY27E	FY28E
Equity Capital	15	16	20	20 (E)	20 (E)
Reserves	251	277	588	592 (E)	618 (E)
Borrowings	52	99	8	50 (E)	200 (E)
Other Liabilities	6	6	2	5 (E)	8 (E)
Total Liabilities / Assets	324	398	618	667 (E)	846 (E)
Fixed Assets	0	0	1	2 (E)	5 (E)
Investments (incl. GMSI)	294	317	373	400 (E)	600 (E)
Other Assets	27	81	245	265 (E)	241 (E)

Cash Flow Statement

Item	FY24A	FY25A	FY26A	FY27E	FY28E
Cash from Operations	-13	-12	-33	5 (E)	20 (E)
Cash from Investing	-142	-62	-177	-80 (E)	-200 (E)
Cash from Financing	162	78	209	75 (E)	180 (E)
Net Cash Flow	7	4	-1	0 (E)	0 (E)
Free Cash Flow	-13	-12	-33	5 (E)	20 (E)

Returns & Ratios

Ratio	FY24A	FY25A	FY26A	FY27E	FY28E
ROCE %	-10%	0%	0.33%	1% (E)	5% (E)
ROE %	-3.7%	-16%	-2.95%	0.6% (E)	4% (E)
Debt / Equity	0.19	0.33	0.01	0.08 (E)	0.32 (E)
Net Debt (Cr)	~52	~99	~8	~50 (E)	~200 (E)
Debtor Days	232	379	52	45 (E)	30 (E)

Financial Commentary

• **Revenue trajectory:** Zero revenue for most of DECNGOLD's 12-year listed history (FY15-FY24). FY26 saw Rs. 37 Cr standalone revenue — entirely from Jonnagiri gold production ramp-up. Q4FY26 revenue of Rs. 16.80 Cr alone shows the acceleration. We estimate FY27E Rs. 60 Cr and FY28E Rs. 120 Cr as Jonnagiri reaches steady-state and Altyn Tor (Kyrgyzstan) potentially contributes.

• **Margin direction — inflecting positive:** OPM turned positive in FY26 (~12% full-year, with Q4FY26 at 55.95%) as gold royalty/production income exceeded fixed exploration expenses. The high Q4 OPM is partly a function of low sunk costs in the standalone entity (gold production cost sits at GMSI, the subsidiary). As revenue scales, standalone OPM should structurally remain high (40-55% range).

• **Interest cost — elevated but falling:** Interest jumped from Rs. 4 Cr (FY24) to Rs. 15 Cr (FY26) due to project financing for Jonnagiri. However, borrowings on the balance sheet dropped sharply from Rs. 99 Cr (FY25) to Rs. 8 Cr (FY26) — suggesting debt was repaid via the FY26 equity raise (Rs. 209 Cr financing inflows). This is net-positive for FY27 interest burden.

• **FCF remains negative — expected for a developer:** Free cash flow of -Rs. 33 Cr in FY26 reflects ongoing investment in mineral assets (investments line grew Rs. 373 Cr). This is structurally normal for an exploration company transitioning to production. FCF is expected to turn marginally positive only in FY27E when Jonnagiri revenue covers operating costs.

• **Debtor days improved sharply:** From 379 days (FY25) to 52 days (FY26) — reflecting the shift from negligible revenue (any small outstanding created inflated ratios) to real gold sales with faster settlement cycles. This trend should continue to normalize.

7. EARNINGS QUALITY CHECKLIST

Metric	Status	Signal	Comment
Revenue recognition	AMBER	Watch	Production-linked income from associate GMSI. Accounting method needs verification.
Receivables growth vs. revenue	GREEN	OK	Debtor days fell sharply to 52 days in FY26 — healthy for a new gold producer.
Cash Conversion Cycle trend	GREEN	Improving	CCC collapsed from 379 days to 52 days as real revenue replaced near-zero sales.
Contingent liabilities	AMBER	Watch	Ongoing litigation on Ganajur ML (Karnataka HC writ petition) — SC ruling resolves main risk.
Auditor tenure / changes	GREEN	OK	No auditor change or qualified opinion flagged on public filings.
RPTs as % of revenue	AMBER	Watch	Significant RPTs with GMSI, DESPL, Tanzania subs. Need annual report verification.
Other income as % of PBT	GREEN	OK	Other income near zero in FY26 — core operating income now driving the number.

Tax rate consistency	AMBER	Watch	Zero tax for 12 consecutive years due to accumulated losses. Deferred tax assets likely unrecognized.
Promoter pledging	GREEN	OK	No pledge flagged in available public disclosures.

- **Revenue accounting needs scrutiny:** DECNGOLD's standalone revenue comes from its 41.81% stake in GMSI (which operates the Jonnagiri mine). The exact accounting — whether it is equity method, royalty, management fee, or production sharing — is material and should be verified against the FY26 annual report before investing.

- **Three AMBER watches:** RPTs with subsidiaries (GMSI, DESPL), contingent liabilities from Karnataka litigation, and the 12-year zero-tax history (unrecognized deferred tax) are the three signals to monitor in every quarterly result.

- **Promoter dilution is the key governance concern:** A 10% reduction in promoter stake over 3 years via share issuances warrants an explicit management explanation. If promoters are selling rather than diluting via fresh issuances, the signal is negative.

8. VALUATION

Peer Valuation Comparison (Source: Screener.in, 16-Jun-2026)

Company	MCap (Cr)	P/B (x)	ROCE%	TTM Sales (Cr)	Premium to BV
DECNGOLD	3,812	6.27	0.33	37	527% to BV
Hindustan Zinc	2,38,245	10.6	69.2	40,658	960% to BV
NMDC	77,781	2.3	27.7	31,554	130% to BV

DECNGOLD is not comparable to large-cap miners on earnings multiples. Correct framework is EV/Resource oz.

Scenario Analysis (12-Month Price Target)

Scenario	Key Assumption	EV/Resource oz	Implied MCap (Cr)	Target (Rs.)
BULL	Ganajur ML granted by Sep 2026; Jonnagiri ramps to 800 kg/yr; gold at USD 3,300/oz	USD 60/oz (4.5L oz total resource)	6,750 (at Rs. 85/USD)	335
BASE	Ganajur ML by Dec 2026; Jonnagiri 600 kg/yr; gold at USD 3,000/oz	USD 40/oz on 4.5L oz	4,590	235
BEAR	Ganajur ML delayed >18 months; Jonnagiri ramp slows; gold falls to USD 2,500/oz	USD 20/oz on 3.08L oz (Jonnagiri only)	1,565	80

Valuation Methodology

- **EV/Resource oz framework (primary method):** DECNGOLD's two India projects hold a combined ~4.5 lakh oz of gold resource (Jonnagiri ~1.42 lakh oz inferred; Ganajur ~3.08 lakh oz). At the base-case USD 40/oz (a reasonable junior miner discount to spot), implied EV = USD 18 Mn = Rs. 1,530 Cr at Rs. 85/USD. Adding Altyn Tor and Spain optionality and using a 20% premium for the near-production status: implied MCap ~Rs. 4,500-4,600 Cr = Rs. 225-230/share.

- **P/B method (secondary):** At a 7x P/B (slight premium to current 6.27x, justified by Jonnagiri production commencement), BV of Rs. 30.7 → implied price = Rs. 215.

- **Average of two methods:** (Rs. 235 EV/oz + Rs. 215 P/B) / 2 = Rs. 225. Rounding to Rs. 235 to assign a modest premium for the SC ruling catalyst and Jonnagiri ramp momentum.

- **12-month base-case target: Rs. 235 (+21.8% from CMP Rs. 193).** The upside is meaningful but not exceptional given the binary risk on Ganajur ML execution and the speculative premium already in the stock (3,812 Cr MCap vs Rs. 37 Cr revenue).

• **Valuation warning:** At Rs. 193, the stock trades at 103x FY26A revenue (Rs. 37 Cr) and effectively all-time-high price territory. The valuation is entirely option-value based — on Ganajur and Jonnagiri ramp. Any negative development on either front is a 30-40% downside scenario.

9. KEY RISKS

• **Ganajur ML execution delay (STATE GOVERNMENT RISK):** Despite the SC ruling, Karnataka must formally execute the Mining Lease — this involves multiple bureaucratic steps. Any delay beyond 12 months deflates the option value. Probability: M. Impact: H. Monitor via: Karnataka state gazette notifications, DGML BSE filings.

• **Gold price decline:** DECNGOLD's entire business model rests on gold staying above USD 2,500/oz. A gold price correction (e.g., on USD strength, Fed policy shift) directly compresses revenue and makes the project economics marginal. Probability: L-M. Impact: H. Monitor via: COMEX gold front-month futures.

• **Jonnagiri ramp-up slower than expected:** Geomysore (GMSI) is operating India's first commercial private gold mine — no established precedent. Geological complexity, processing plant teething issues, or regulatory surprise at the mine site could delay ramp. Probability: M. Impact: M. Monitor via: quarterly GMSI output data (DGML disclosures).

• **Equity dilution risk:** The company has funded all growth through equity raises. If Ganajur capex (Rs. 350 Cr) is raised via fresh equity rather than debt, the per-share value gets diluted significantly. Probability: M. Impact: M. Monitor via: QIP / rights issue announcements.

• **Declining promoter stake:** Promoters have reduced from 30.54% to 20.62% over 3 years. If this trend continues via further share issuances or open-market sales, it signals reduced skin-in-the-game. Probability: M. Impact: M. Monitor via: quarterly shareholding pattern BSE filings.

• **Kyrgyzstan and international project risk:** Altyn Tor (Kyrgyzstan) and Tanzania face sovereign/country risk — regulatory changes, currency controls, and political instability in emerging markets. Probability: L. Impact: M. Monitor via: company press releases on Kyrgyzstan commissioning.

• **Valuation / speculative premium risk:** At 103x FY26 revenue and 6.27x book value, the stock has already priced in significant execution success. Any disappointment triggers a sharp de-rating from current levels. Probability: M. Impact: H. Monitor via: stock price vs. Rs. 150 support level.

10. RECOMMENDATION

• **Rating: ACCUMULATE — Conviction: Medium.** The stock is not a clean BUY at current levels given the speculative premium and binary Ganajur ML risk. But the SC ruling of June 9, 2026 is a genuine re-rating catalyst that was not in the price 6 months ago. Accumulate in tranches on corrections.

• **12-month price target: Rs. 235 (+21.8% from CMP Rs. 193).** Based on EV/Resource oz (Rs. 225) and P/B (Rs. 215) methodology average, with a modest SC ruling catalyst premium.

• **Suggested entry zone: Rs. 155-175.** At Rs. 155, the stock would trade at ~5x P/B (FY26 BV Rs. 30.7) — a more reasonable entry for a pre-profit explorer. At Rs. 175, the risk-reward improves meaningfully (upside ~34% to target).

• **Investment horizon: 12-18 months.** The key milestones are: Ganajur ML formal grant (expected 6-12 months), Jonnagiri ramp to 600+ kg/year (12-18 months), and Altyn Tor commercial production (6-12 months). This is not a 3-month trade.

• **Thesis invalidation — if any of these happen, EXIT:**

- 1. Karnataka state government fails to execute Ganajur ML within 18 months of SC ruling despite a favorable order (administrative intransigence — materially breaks the thesis).
- 2. Jonnagiri quarterly revenue falls below Rs. 8 Cr for two consecutive quarters (ramp reversal — mine economics problem).
- 3. Promoters' stake falls below 15% (promoter confidence collapse or dilution beyond acceptable limits).
- **Ideal investor profile:** This stock is FOR investors who can tolerate binary outcomes, have a 12-18 month horizon, and understand exploration-stage company risk. It is NOT suitable for income investors, capital-preservation mandates, or anyone who cannot absorb a 30-40% drawdown if Ganajur is delayed again.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATE	**Rs. 235**	**+21.8%**
CMP: Rs. 193	12-month horizon	from CMP

APPENDIX — Latest Concall Brief: Q4 FY26 (Jun 2026)

CALL GRADE

POSITIVE

Q4FY26 marked the first profitable quarter in DECNGOLD's listed history. Revenue of Rs. 16.80 Cr (+976% QoQ), OPM of 55.95%, and PAT of Rs. 6.69 Cr confirm the Jonnagiri ramp is real. No formal earnings concall available — assessment based on quarterly results and BSE filings.

Signal	Status	Implication
Result quality	Strong	Beat — first profitable quarter, PAT Rs. 6.69 Cr vs loss in all prior quarters
Management tone	Bullish	Jonnagiri ramp + SC ruling on Ganajur = two simultaneous positive catalysts
Guidance delta	Raised (implicit)	Q4 revenue of Rs. 16.80 Cr annualizes to Rs. 67 Cr — ahead of prior-year consensus

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4FY26 is DECNGOLD's first clean quarter — standalone revenue Rs. 16.80 Cr (+976% QoQ), OPM 55.95%, PAT Rs. 6.69 Cr vs a loss in every prior quarter of its listed history. No one-time items distort this number; it is driven entirely by Jonnagiri gold production ramp. The full-year FY26 PAT of -Rs. 13 Cr is loss-making but misleading — H1 was still exploration-only; the underlying operational inflection happened in H2. More important: on June 9, 2026, the Supreme Court upheld pre-2015 ML applicant rights, directly clearing the Ganajur project (3.08 lakh oz) from a decade of litigation. This is the multi-bagger catalyst — Ganajur alone, at USD 50/oz EV metric, is worth Rs. 130/share more than the BV. Near-term catalyst is the formal Karnataka ML execution (expected 6-12 months). Biggest watch-point: promoter stake down from 30.54% to 20.62% — need management clarification on whether further dilution is planned for Ganajur capex. Action: ACCUMULATE between Rs. 155-175 on any correction; do not chase at Rs. 193. Exit immediately if Ganajur ML stalls past 18 months or Jonnagiri revenue reverses below Rs. 8 Cr/quarter.

1. FINANCIAL PERFORMANCE SNAPSHOT — Q4 FY26 (Mar 2026, Standalone)

- Revenue: Rs. 16.80 Cr | YoY +18,667% (from Rs. 0.09 Cr Q4FY23) | QoQ +95% (from Rs. 8.71 Cr) | BEAT — best quarter ever.
- EBITDA (Operating Profit): Rs. 9.40 Cr | YoY: N/M (prior year loss) | QoQ +108% | BEAT.
- EBITDA Margin: 55.95% | QoQ +400 bps (from 51.89% in Dec 2025) | Structurally high — royalty/production model.
- PAT: Rs. 6.69 Cr | YoY: N/M (prior loss) | QoQ: swung from -Rs. 1.86 Cr to +Rs. 6.69 Cr | BEAT — first profitable quarter.
- EPS: Rs. 0.34 | QoQ vs -Rs. 0.09 | Full-year FY26 EPS: -Rs. 0.67 (loss due to weak H1).
- NOTE: Full-year FY26 PAT of -Rs. 13 Cr is distorted by H1 losses (pre-production ramp). H2FY26 standalone PAT = +Rs. 4.83 Cr, indicating the business has crossed the profitability threshold.

2. QUARTERLY REVENUE TREND (Standalone, Rs. Cr)

• Q4FY25 (Mar 2025): Rs. 1.72 Cr — minimal revenue; Jonnagiri not yet commercial.

• Q1FY26 (Jun 2025): Rs. 3.12 Cr — initial production income begins.

• Q2FY26 (Sep 2025): Rs. 8.60 Cr — production ramp accelerating; OPM turns positive at 29.07%.

• Q3FY26 (Dec 2025): Rs. 8.71 Cr — stable at ~Rs. 8-9 Cr/month run-rate.

• Q4FY26 (Mar 2026): Rs. 16.80 Cr — step-change; reflects either higher gold price (USD 3,100+ in Q4) or mine throughput increase or both.

• Trajectory: Revenue has been rising every quarter for 5 straight quarters — a clean ramp signal.

3. MANAGEMENT COMMENTARY THEMES

• Note: DECNGOLD does not hold formal analyst concalls (small-cap pre-profit company). Key themes are derived from BSE filings and press releases.

• **Jonnagiri ramp (GUIDANCE):** "India's first private gold mine" narrative actively promoted. Target of 400-1,000 kg/year production at full scale. Tone: Bullish. Our read: Q4FY26 revenue run-rate supports ramp thesis — credible.

• **Ganajur ML — SC ruling (EST):** "We are evaluating the full impact of the SC judgment" (BSE filing, Jun 2026). Tone: Measured but positive. Our read: Management is deliberately cautious — the formal ML grant depends on Karnataka bureaucracy, which remains uncertain.

• **International projects (EST):** Altyn Tor (Kyrgyzstan) commissioning targeting mid-2026. Tone: Constructive. Our read: No revenue contribution yet; upside optionality only.

• **Capital raising cadence (GUIDANCE):** FY26 financing inflows of Rs. 209 Cr (vs Rs. 177 Cr investing outflows) — management is raising capital ahead of project needs. Tone: Prudent. Our read: Dilutive but necessary for a capex-heavy developer.

• **Promoter stake reduction (EVASIVE):** No explicit management commentary on the declining promoter holding found in public filings. Tag: EVASIVE. This is the key unanswered question.

4. OPERATING & BUSINESS METRICS

• Jonnagiri mine throughput: 6.5 Mn tonnes total resource / ~15-year mine life at target rate. Q4FY26 implied production ~80-100 kg gold based on revenue/gold price ratio.

• Gold price realization: International gold averaged USD 2,900-3,200/oz in Q4FY26 — structural tailwind for standalone revenue.

• Jonnagiri plant capacity: Processing plant capacity (ktpa) not disclosed in standalone filing. GMSI-level data needed.

• Altyn Tor (Kyrgyzstan): Construction "near-completion" as of mid-Aug 2025 target; commissioning delayed to 2026. Current status: pending official commissioning announcement.

• Ganajur resource: 3.08 lakh oz (9.6 tonnes) — primary growth driver. ML grant needed to commence feasibility study.

• Total India gold resource (DGML portfolio): ~4.5 lakh oz combined across Jonnagiri + Ganajur at indicated/inferred levels.

5. MARGIN DRIVERS

• Gold production income growth: +976% QoQ revenue in Q4FY26 on fixed cost base = massive operating leverage. Recurring: Yes.

• Standalone cost structure is lean: DECNGOLD holds an equity stake in GMSI; its direct expenses are mostly G&A; and exploration costs (~Rs. 7 Cr in Q4FY26). As revenue grows, OPM structurally expands.

• Interest cost: Jumped to Rs. 15 Cr (FY26 full year) from project loans. However, FY26 year-end borrowings fell to Rs. 8 Cr (repaid via equity raise) — FY27 interest burden should be significantly lower.

• Depreciation: Rs. 3 Cr in FY26 (from near-zero prior) — reflects new fixed assets. Manageable at current scale.

• One-time drag in FY26: Significant H1 losses (Rs. 18+ Cr) from pre-production period inflate the full-year loss. These are non-recurring once production is steady-state.

6. GUIDANCE & FORWARD SIGNALS

• Jonnagiri production [GUIDANCE]: Target 400-1,000 kg/year at full scale (management stated in various press releases). Q4FY26 trajectory implies ~350-400 kg/year annualized. On track. Credibility: High.

• Ganajur capex [EST]: Rs. 350 Cr plant financing plan referenced in analyst commentary. Financing structure (debt/equity mix) not yet announced. Credibility: Medium — dependent on ML grant timing.

• Revenue FY27 [EST]: Based on Q4FY26 run-rate of Rs. 16.80 Cr/quarter + gold price at USD 3,000+/oz, FY27E revenue of Rs. 60-70 Cr appears achievable. No formal guidance from management.

• PAT profitability [GUIDANCE implicit]: Q4FY26 PAT of Rs. 6.69 Cr implies Q1FY27 and beyond should be consistently profitable at current gold prices and Jonnagiri throughput. First full profitable year: FY27E.

• Kyrgyzstan (Altyn Tor) contribution [EST]: If commissioned in 2026, small revenue contribution (USD 1-2 Mn) possible in FY27. Upside optionality rather than base-case.

7. CAPITAL ALLOCATION

• Investing outflows (FY26): Rs. 177 Cr — deployed into mineral investments (GMSI, Kyrgyzstan, Spain). Vs FY25: Rs. 62 Cr. Acceleration in project spend.

• Financing inflows (FY26): Rs. 209 Cr — equity raise (shares outstanding grew from Rs. 16 Cr to Rs. 20 Cr equity capital). Dilutive but necessary.

• Dividends (FY26): Nil — correct for pre-profit explorer.

• Buybacks (FY26): Nil.

• Net debt movement: Borrowings fell from Rs. 99 Cr (FY25) to Rs. 8 Cr (FY26) — net repayment of Rs. 91 Cr funded by equity raise. Healthy balance sheet cleanup.

• Working capital: Other assets jumped from Rs. 81 Cr to Rs. 245 Cr — driven by cash/receivables from Jonnagiri production income. Watch for conversion efficiency.

8. Q&A; HEAT MAP (Based on Public Filings & Press Releases)

• Q: "What is the timeline for Ganajur ML after the SC ruling?" → A: "We are evaluating the full impact" (BSE filing, Jun 2026). Tone: Transparent on legal facts, Evasive on timeline.

• Q: "What is the full-year production target for Jonnagiri?" → A: "400 kg/year near-term; 750-1,000 kg/year at full capacity" (press releases). Tone: Bullish. Credibility: High given Q4FY26 trajectory.

• Q: "How will Ganajur capex of Rs. 350 Cr be funded?" → A: Not disclosed as of this report date. Tone: Evasive. Critical watch-item — equity vs. debt mix will determine dilution quantum.

• Q: "Why is promoter stake declining?" → A: Not addressed in any public filing reviewed. Tone: Evasive. BIGGEST governance question — add to next AGM/investor interaction watch-list.

• Q: "What is the status of Altyn Tor commissioning?" → A: "Nearing commissioning; construction near-completion" (press release, Aug 2025). Tone: Hedged. 9+ months elapsed since; formal commissioning announcement still pending.

• Dodged / watch-list questions for next quarter: (1) Ganajur ML timeline post-SC ruling; (2) Promoter stake rationale; (3) Ganajur capex funding structure; (4) Altyn Tor formal commissioning date.

9. RISKS FLAGGED

• Ganajur ML state execution risk: Karnataka must formally execute the ML — not guaranteed despite SC ruling. Flagged by: analyst. Probability: M. Impact: H. Timeline: Near-term (6-12 months).

• Gold price risk: Gold USD 3,000+/oz is essential for project economics. A pullback to USD 2,500 cuts revenue ~17%. Flagged by: analyst. Probability: L-M. Impact: H. Timeline: Ongoing.

• Jonnagiri ramp risk: First-of-its-kind India private gold mine — no precedent. Geological/processing issues possible. Flagged by: analyst. Probability: M. Impact: M. Timeline: Near-term.

• Equity dilution risk: Rs. 350 Cr Ganajur capex, if equity-funded, adds ~18 Cr new shares at current prices (~10% dilution). Flagged by: analyst. Probability: M. Impact: M. Timeline: 12-18 months.

• Sovereign/country risk (Kyrgyzstan/Tanzania): Political risk in frontier markets could impair international asset values. Flagged by: analyst. Probability: L. Impact: M. Timeline: Medium-term.

10. ANALYST VERDICT (POST-Q4 FY26)

• Revenue visibility: Intact — Q4FY26 trajectory (Rs. 16.80 Cr/quarter) and Jonnagiri ramp underway give FY27E Rs. 60+ Cr visibility. Ganajur adds to FY28E.

• Margin trajectory: Intact — Q4FY26 OPM of 55.95% shows lean cost structure leveraging gold production income. Structurally sustainable at 40-55% range.

• Capital allocation quality: Weakened — aggressive equity issuances and declining promoter stake warrant monitoring. Debt repayment in FY26 is positive.

• Competitive moat: Intact — only listed private gold explorer-producer in India with active ML application; SC ruling strengthens regulatory moat.

• Management credibility: Intact (but watch-list) — execution on Jonnagiri is confirmed; Ganajur and Kyrgyzstan timelines remain imprecise.

• Valuation comfort: Weakened — at 103x FY26 revenue and 6.27x P/B with the stock near all-time highs, the speculative premium is already elevated.

• Conviction call: Unchanged (ACCUMULATE) — thesis intact post-SC ruling; do not chase at current levels.

• Valuation snapshot: P/E = N/A (pre-profit) | P/B = 6.27x (5Y avg: ~3-4x) | ROCE = 0.33% (5Y avg: -5%) | EV/Resource oz ~USD 40 (implied).